



LIGHT HELICOPTERS

Wanted: 250 helicopters to replace ageing Cheetahs and Chetak.

Worth: Rs 7,500 crore

Status: Entire process restarted after Bell helicopters complained against finalist Eurocopter in 2007. It will take another five years for new choppers to start coming.

Case Study: NIGHT VISION



In 2006, the Indian Army floated a requirement for 30,634 third-generation night-vision devices (NVDs), worth Rs 500 crore, for assault rifles, rocket launchers, goggles and binoculars. Of these, 8,000 were to be bought off-the-shelf and the rest made by Bharat Electronics. Three years later, the army is still blind.

JULY 2006

Letters of Intent issued by ministry. Requests for Info go to vendors.

DECEMBER 2006

Request for Proposals issued after army takes five months to decide specifications and the number of NVDs. Only 13 vendors could meet stringent requirements of weight and detection ranges.

MARCH 2007

Tender closed. Technical evaluation begins.

OCTOBER 2007

Field trials begin. Completed in six months.

APRIL 2008

Deficiencies noted by the army. Three shortlisted vendors offer improved products.

JANUARY 2009

Evaluation of the finalist completed. Six months to start deliveries and another year to complete them.

single-vendor imports. "Our system is only tuned for single-vendor situations. With multiple vendors, the system goes into unending trials," says an army official.

With the politicisation of defence acquisition after Bofors and the Kargil-era purchases, the entire system has become risk-averse. "I am still answering to the CBI on decisions taken nearly a decade ago, why would I want to stick my neck out on anything?" a senior bureaucrat asks. The multi-vendor system has its own pitfalls. "Often vendors go out of their way to cast aspersions on others further delaying the process," says former army chief General Ved Prakash Malik. "The DPP has failed to deliver. In the past six years, India has not been able to sign a single contract for major equipment in a multi-vendor competitive environment," says Suman. The reason, say analysts, is red tape. Adequate powers have not been delegated to the services and even minor deviations in the procedure have to be personally vetted by

the defence minister, causing further delays. "The defence acquisition system is delay rather than delivery-inclined," says a senior army official.

Often, the army itself is to blame because it is unable to decide what it wants. The qualitative requirements are either culled from brochures, or made so stringent and futuristic that few vendors can meet them. In sharp contrast, it took the Indian Navy just three years to sign a \$2-billion contract with Boeing for eight maritime patrol aircraft after a global competition and within the DPP parameters.

The army, however, is under-equipped to handle acquisitions. Procurement departments are staffed with personnel on short-term deputations with little or no knowledge of acquisition. The US has a defence acquisition university to train experts. India, despite a committed defence acquisition plan of over \$50 billion over the next decade, has not even be-

gun thinking along those lines.

Yet, the malaise runs far deeper. "The whole process is flawed in execution," says Kanwal. There is no adherence to five-year defence plans. Deadlines are not met, goalposts are frequently shifted and proposals languish for months waiting for approval by the Cabinet Committee on Security (CCS). Experts say financial support for defence plans must be committed at the time of approval and should not be hostage to annual budgets; red tape must be eliminated via empowered committees, work of the Defence Acquisition Council should be streamlined and CCS should give time-bound clearances to proposals.

General Malik says the ministry can easily reduce 30 per cent of the delays if it implements simple measures like ensuring that the contract team starts work even as the trials are on and joint meetings are held to reduce file movements. Without such reforms, successive army chiefs could be left wringing their hands in a crisis. ■